

Table 2.3 Cost Measurement Analysis

Study	Type	Observation
Perold (1988)	Value Line Fund	17.5% Annual
Wagner and Edwards (1993)	Total Order Cost	
	Liquidity Demanders	5.78%
	Neutral Investors	2.19%
	Liquidity Suppliers	−1.31%
Beebower and Priest (1980)	Trades	
	Buys	−0.12%
	Sells	0.15%
Loeb (1983)	Blocks	
	Small Sizes	1.1–17.3%
	Large Sizes	2.1–25.4%
Holthausen, Leftwich and Mayer (1999)	Trades	
	Buys	0.33%
	Sells	0.40%
Chan and Lakonishok (1993)	Trades	
	Buys	0.34%
	Sells	−0.04%
Chan and Lakonishok (1995)	Orders	
	Buys	0.98%
	Sells	0.35%
Chan and Lakonishok (1997)	Orders	
	NYSE	1.01–2.30%
	NASDAQ	0.77–2.45%
Keim and Madhavan (1995)	Block Orders	3–5%
Keim and Madhavan (1997)	Institutional Orders	0.20–2.57%
Plexus Group (2000)	Market Impact	0.33%
	Delay	0.53%
	Opportunity Cost	0.16%
Kraus and Stoll (1972)	Blocks	1.41%
Lakonishok, Shleifer, and Vishny (1992)		1.30–2.60%
Malkiel (1995)		0.43–1.83%
Haung and Stoll (1996)	NYSE	25.8 cents
	NASDAQ	49.2 cents
Wagner (2003)		0.28–1.07%
Conrad, Johnson and Wahal (2003)		0.28–0.66%
Berkowitz, Logue and Noser (1988)	VWAP Cost	5 bp
Wagner (1975)	Trading Costs	0.25 – 2.00% +

Note: Positive value indicates a cost and negative value indicates a saving.